



**BRITISH AMERICAN
TOBACCO**
KENYA

2018 Full Year Results

A STRONG PERFORMANCE IN A CHALLENGING OPERATING ENVIRONMENT

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Beverley Spencer-Obatoyinbo
Managing Director



DISCLAIMER

“The material in this presentation is provided for the purpose of giving information about us to investors and is not provided for tobacco product advertising, promotional or marketing purposes. This material does not constitute and should not be construed as constituting an offer to sell, or a solicitation of an offer to buy, any of our tobacco products. Our products are sold only in compliance with the Tobacco Control Act.”

A PROVEN STRATEGY

Designed to deliver the quadruple win



☐ For Consumers

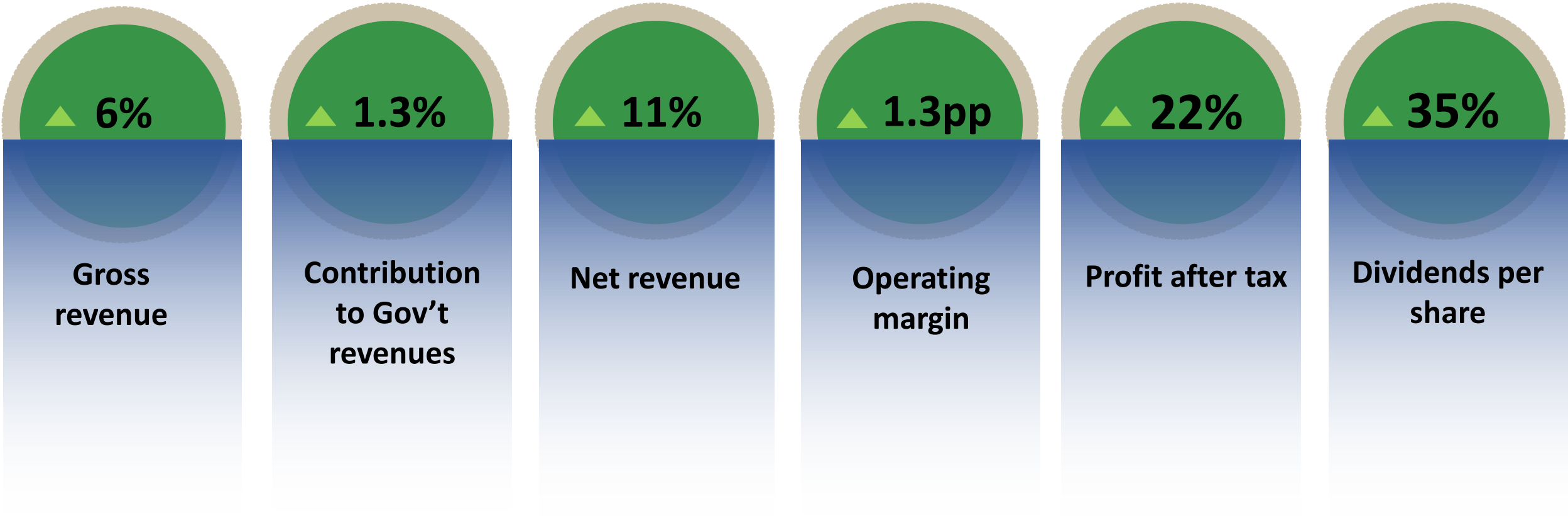
☐ For Shareholders

☐ For Society

☐ For Employees

2018 FULL YEAR PERFORMANCE

GOOD GROWTH IN 2018



NOTABLE SUCCESSES IN 2018

1

Portfolio Transformation



2

Outstanding GDSB growth



126%

3

Revamped Customer programmes



4

Our Talent Agenda



Overall Best Employer
Award – 2018

EXTERNAL RECOGNITION IN 2018



ERC Energy Compliance Certified



Best Company in 'Sustained High Performance' - 2018

Best Company in 'Fuel Savings' - 2018



Winner: Sustainable Corporate Social Responsibility -2018

KENYA MARKET

Gross revenue

+5%

Market share

+1.2pp

GDSB volume

+126%

Excise Duty

-2 %

Portfolio Transformation

Establishing a credible offer in Low-Price segment



Igniting Premium growth



THE KENYA MANUFACTURING HUB CONTINUES TO DELIVER

9

Markets supplied
with Cigarettes

Volume (Exports)

9bn sticks

(Flat vs SPLY)

Share of factory
output

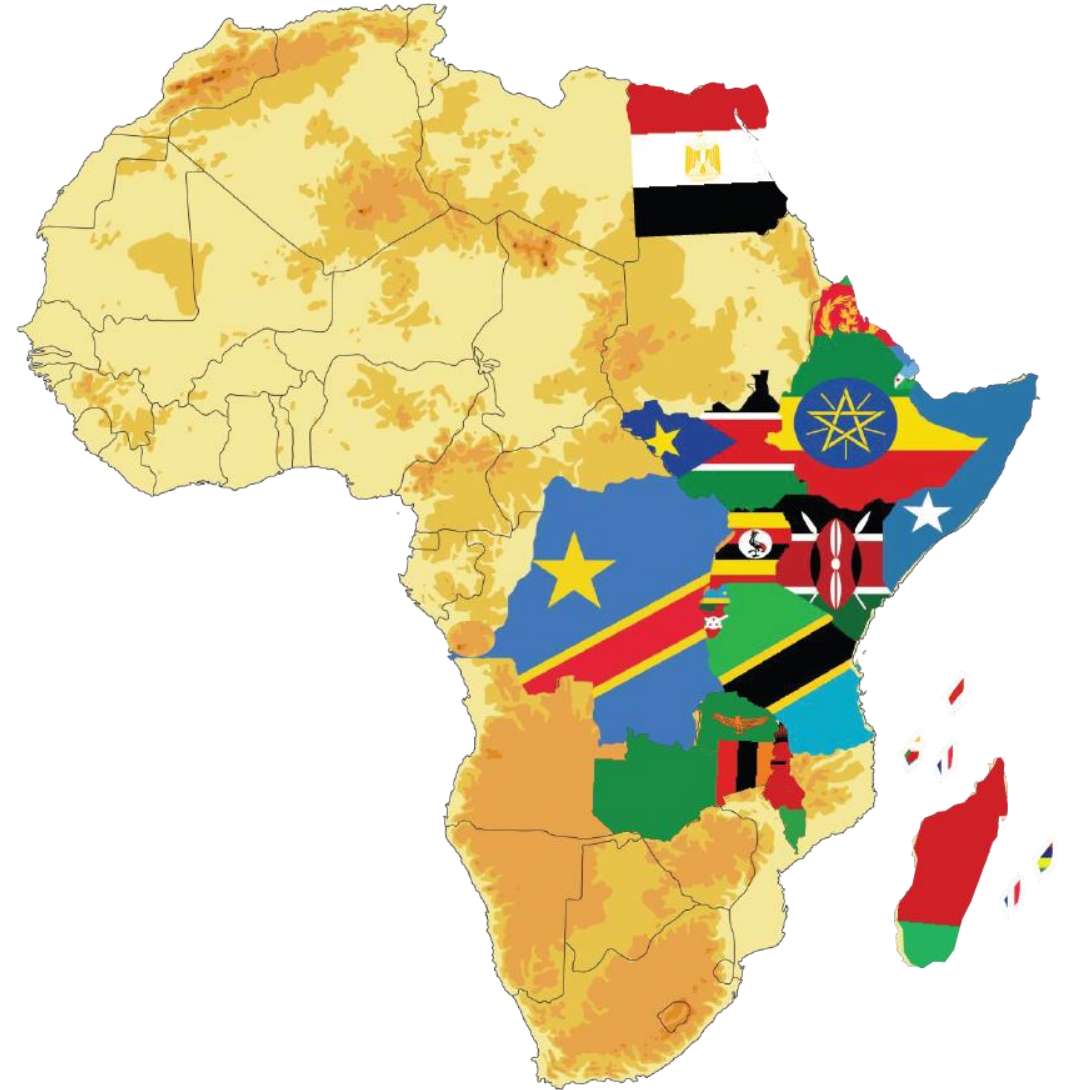
65.2%

(+0.2pp vs SPLY)

Value
(Cigarette Exports)

\$83.3m

(0.4% vs SPLY)



LEAF & CUT RAG TOBACCO

Export CRT value

\$15.0m

(+149% vs SPLY)

Export CRT volume

2.8

metric tons

(+242% vs SPLY)

Annual Volume of
leaf grown

8.9m

Kgs (+27.1% vs SPLY)

Annual Payments
to farmers

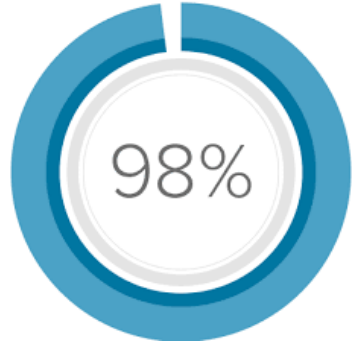
KSh 1.49b

(+28.8% vs SPLY)



MANUFACTURING EXCELLENCE

Excellent Service



World Class Quality



- › Product Quality +8%
- › World Class Systems (IWS)

Factory Efficiency



+5pps vs 2017

Manufacturing Costs

-11%

Reduction vs 2017



SIX YEARS with Zero Lost Time Injury (LTI)

Safety & Sustainability

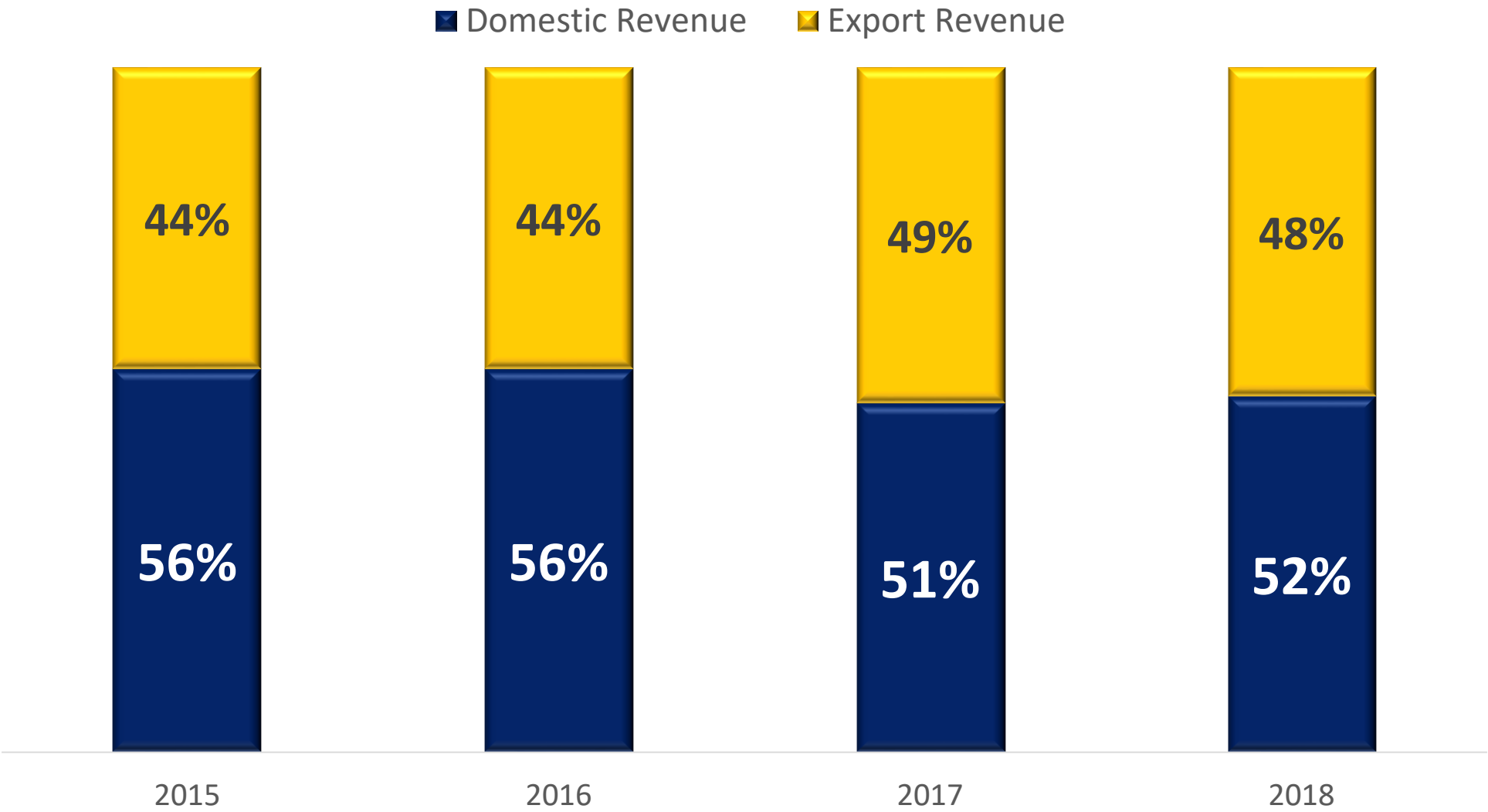


Energy (Gj/mce) -2%

Recycling Rate 100%

Water Use (M3/mce) -5%

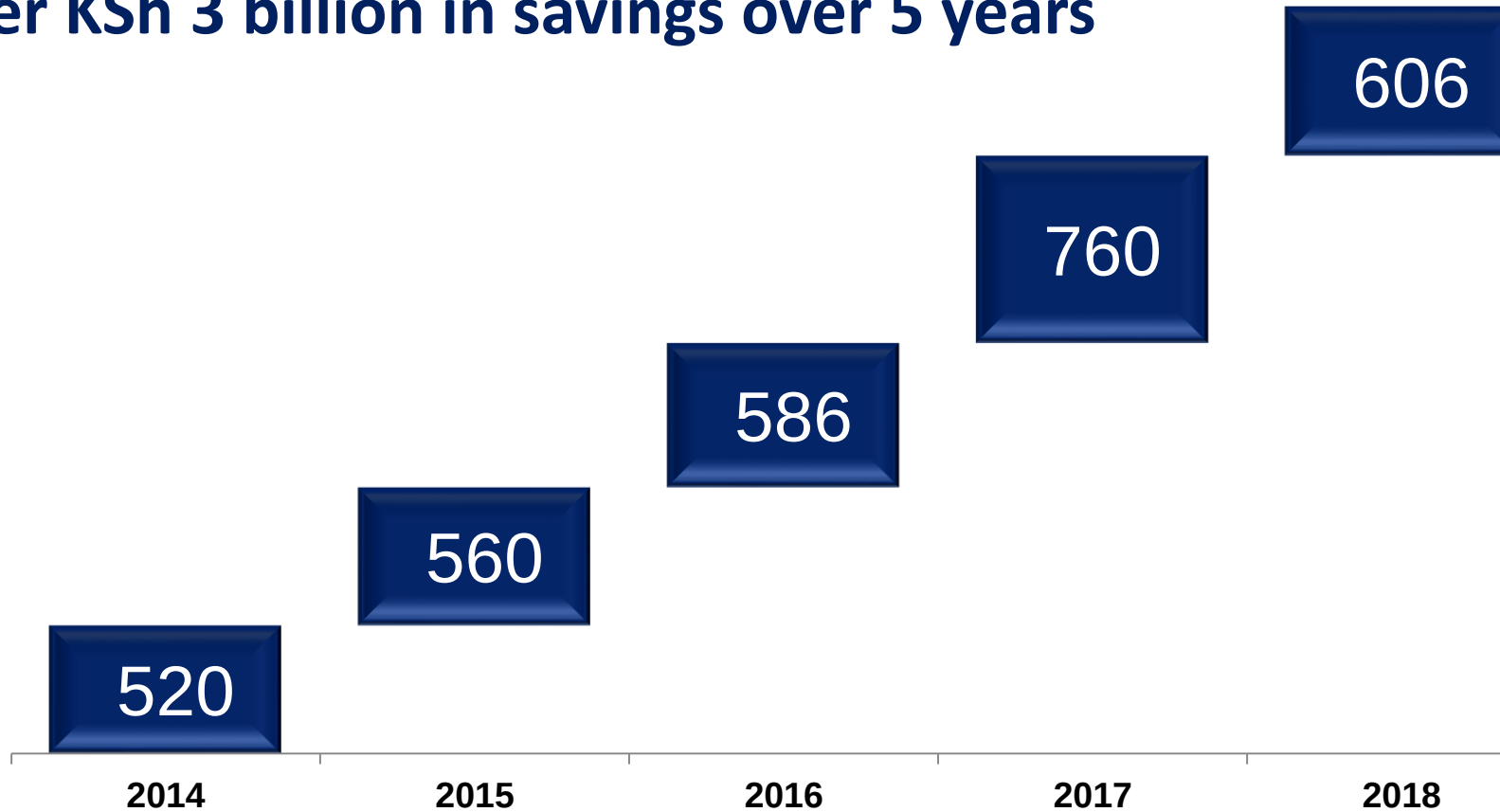
BALANCED REVENUE STREAMS



PRODUCTIVITY SAVINGS

re-invested in the business and offset against inflationary increases

Over KSh 3 billion in savings over 5 years



2018 CHALLENGES

DOMESTIC MARKET

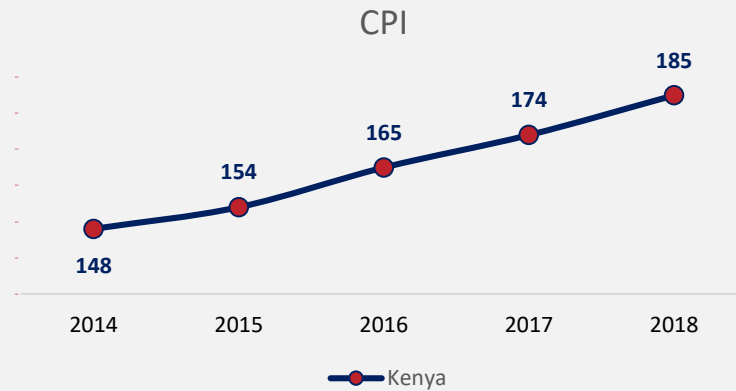
Challenges remain

Excise taxes



› Transparency and predictability of policies required

Consumer pressure



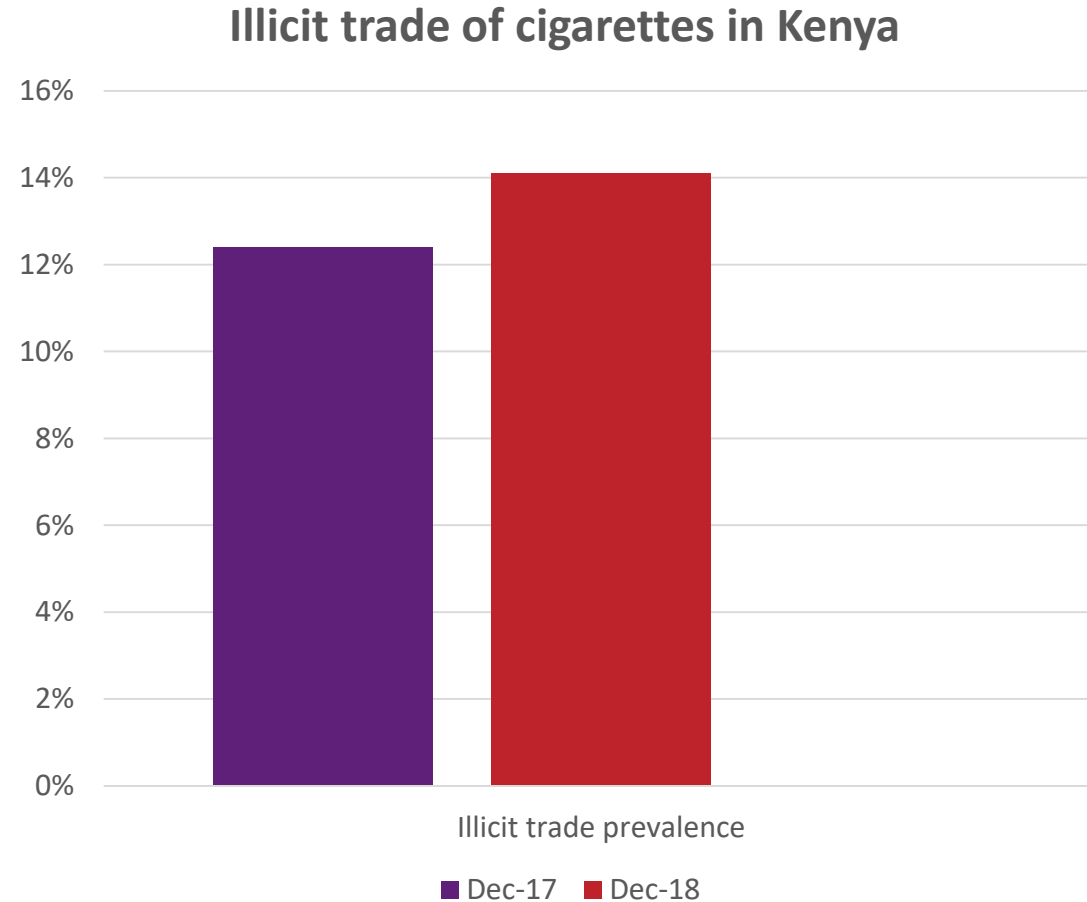
› Consumers remain considerably cash stretched

Regulatory uncertainty



› Not opposed to regulation that is balanced, evidence based and follows due process

ILLICIT TRADE – A GROWING ISSUE IN KENYA



Increased to 14.1% - up from 12.4% SPLY

All evading tax

Denying government KSh 2.5bn in revenue

AN EXAMPLE OF ILLICIT - FAKE TAX STAMPS



EXPORT MARKETS

Performed well despite a difficult environment

POLITICAL TENSION AND UNREST



DRC – Heated elections



Somaliland – Volatile security situation remains

ILLICIT THREAT



Uganda – average of 22% in 2018

HEIGHTENED REGULATIONS



Mauritius – intention to introduce Plain Packaging



Uganda – Discriminatory excise yet to be determined



DRC – Introduction of stringent Tobacco Control regulations

2019 KEY FOCUS AREAS

THE FOCUS FOR 2019



PORTFOLIO INVESTMENT AND TRANSFORMATION

REGULATORY ENGAGEMENT

ANTI ILLICIT TRADE MANAGEMENT

PRODUCTIVITY INITIATIVES

WORKPLACE TRANSFORMATION

CELEBRATING 50 YEARS ON THE NSE IN 2019



**nairobi
securities
exchange**

Discover Opportunity



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KENYA

QUESTIONS?

